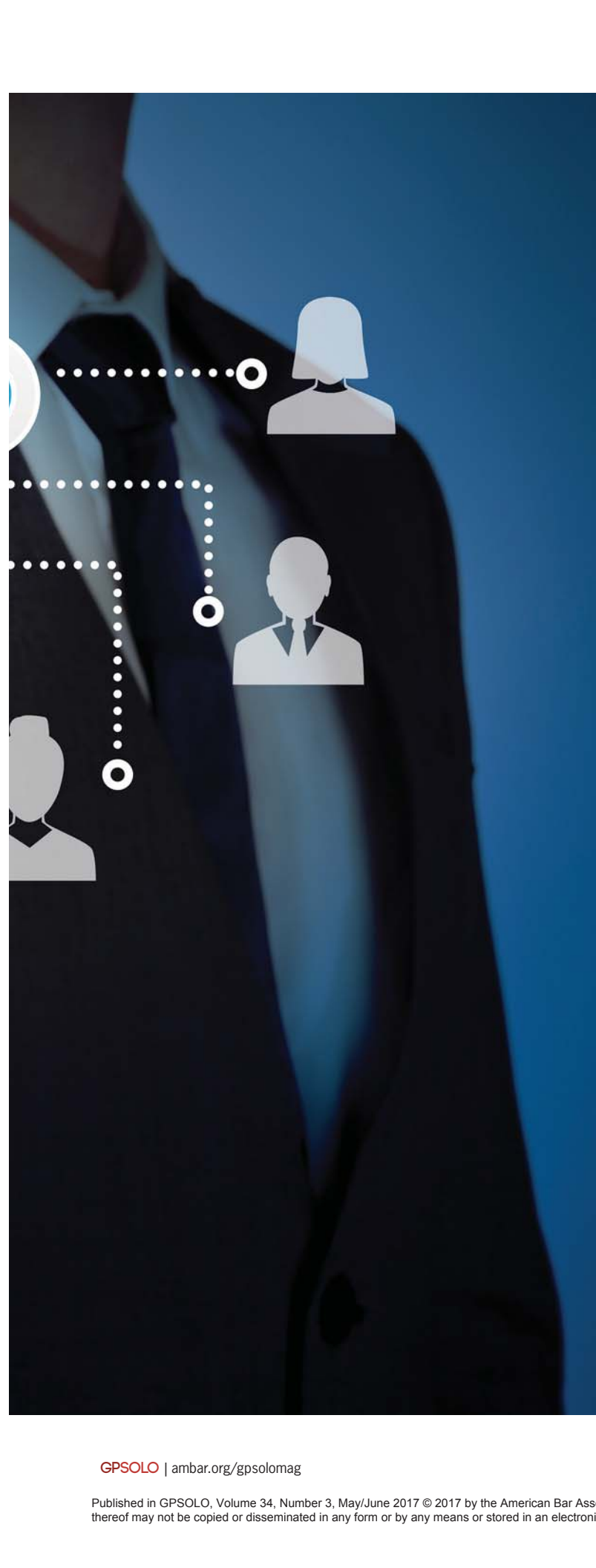


A hand in a dark suit jacket points its index finger towards a stylized blue and white cloud icon. Overlaid on the background is a network diagram consisting of white dotted lines connecting several grey silhouettes of people in business attire. The silhouettes are arranged in a hierarchical or interconnected manner, with one person at the top left, two below it, and one to the right. The background is a dark blue gradient.

Current State of Cloud Practice Management

By Wells H. Anderson

iStock



Are you thinking of subscribing to a legal cloud practice management (CPM) service? In this article you will find advice and updates about this rapidly changing market. (For even more detail, you can view our enormous spreadsheet comparing CPM services and features online at activepractice.com/cpm.)

Lawyers are signing up for cloud services at a rapid rate, and the marketplace has responded. The market for CPM designed for law offices has expanded and changed since 2013 when Benjamin K. Sanchez and I wrote “Migrating to Cloud Practice Management Apps” (*GPSolo*, September/October 2013: tinyurl.com/lqhk52k). Reflecting this trend, the Capterra review site (capterra.com) lists more than 140 CPM vendors. And there were more than 110 vendors, many offering cloud-based services, exhibiting at the ABA TECHSHOW in March 2017. To assist you in evaluating current CPM applications, I have updated our research and offer new insights, cautions, and analyses below.

EVALUATING CPM SERVICES

Cloud practice management systems have distinct advantages over traditional, premises-based applications. They can be implemented quickly. Many are designed with an emphasis on ease of use. The burden of maintaining and upgrading the applications falls on the CPM vendors, not the customers and their local IT providers.

When considering moving to a cloud-based system, evaluate combinations of CPM applications and document management systems together. Evaluate them with these fundamental criteria in mind:

1. efficiency of the applications in minimizing keystrokes and lag times for performing routine operations on high volumes of documents and e-mails;
2. capabilities of the applications to collect and store information in a manner suitable for the kind of matters you manage, including flexibility in customizing the applications;
3. strength of the security features, precautions, and technologies that protect the data and documents in transit and stored at rest in data centers; and
4. reputations and track records of the vendors for stability, quality, and security.

SCRUTINIZE POTENTIAL DRAWBACKS

Several aspects of cloud-based legal applications deserve special scrutiny. These are areas where many, but not all, CPM services may not measure up to traditional practice management software products installed locally. As you consider competing services, make sure you understand the capabilities and limitations that are important to you in these three areas: response time, document management, and e-mail.

Response time. Moving from window to window may take too long in some CPM services. Even a delay of a few seconds makes a big difference when experienced hundreds of times per week. While the lost time matters, more important are the

disruptive and frustrating effects on the minds of the users. Our brains are geared to take short lags in stride, but waiting seconds for something that we expect to be automatic is frustrating.

Document management. CPM services may excel at automatically creating documents from templates but still fall short in their capabilities for organizing documents, especially for matters that may have hundreds of them. With larger numbers of documents per matter, it is important to have the capability to identify documents by type, filter them by tags, or organize them into folders. For this reason, using a separate add-in document management service, such as Box (box.com) or NetDocuments (netdocuments.com), makes a big, positive difference.

The impact of ransomware is reduced when your information is stored in the cloud.



E-mail. E-mail features and integration methods can be weak points in CPM services. Some use an inconvenient approach that requires manually forwarding copies of e-mails to unique e-mail addresses assigned to each matter. A few have built-in e-mail boxes that can synchronize with users' external e-mail services such as hosted Microsoft Exchange, Gmail, or Office 365. Attachment handling is another aspect that may or may not be supported in a convenient, efficient manner.

SECURITY

Judging by the rapid uptake of CPM by small firms and solo attorneys, resistance based on security concerns has lessened. CPM companies have addressed security issues by implementing state-of-the-art technologies. To address the concerns of prospective customers, they prominently

provide details on their websites, describing compliance with the Health Insurance Portability and Accountability Act (HIPAA) and the specific certifications and safeguards of their data centers.

The greatest risks still result from insecure password practices. In response, many CPM providers offer two-factor authentication (password plus a code sent to a cell phone) as an added safeguard to prevent unauthorized access. Law offices have also increasingly implemented secure password managers such as LastPass (lastpass.com) and 1Password (agilebits.com/onepassword). They make opening and closing all manner of web applications almost as fast as opening PC-based software programs while supporting the effortless use of strong passwords.

The impact of ransomware is reduced when your practice information is stored in the cloud. Ransomware, one of the biggest threats to law firm data, cannot affect records in your CPM system. Documents in the cloud are also safe from ransomware unless they are synchronized to local computers. (See the discussion below of document management for more on the benefits and risks of synchronization.) If the documents are synchronized to local computers, you need the protection of continuous or frequent file backups by an application that supports point-in-time restores.

BACKUPS AND DOWNLOADING

When contemplating switching from traditional practice management software to a cloud service, lawyers want to know: "If I put all my information into the cloud, how can I get it all back?"

Cloud vendors provide different approaches to getting your records and documents back. The best approach is a one-click or two-click "download everything" option. Records are saved in Excel-compatible files, one for contacts, another for matters, etc. Documents may be downloaded in a compressed Zip file. Another approach requires that you go to each tab and download its records into an Excel file. A third approach involves submitting a backup request to the company and waiting for it to provide a download link for you to retrieve your files. A problem with the second and third approaches is that you may skip regular backups because the method is inconvenient.

It should be a standard practice in every firm to have recent backups in multiple secure locations. Most CPM vendors offer the protection of multiple, geographically dispersed data centers, but I still recommend that you have your own, separate cloud backups of your files for:

- protection against ransomware that could encrypt files synchronized to the cloud; and
- immediate access to all your files in the event of an outage affecting your CPM service.

Watch out! Most cloud services let you restore previous versions of files one at a time, but not all in one operation. You need the ability to roll back all your files to a point in time that predates a ransomware attack. It is simply impractical to manually restore files one at a time.

Ransomware can encrypt document files that are synchronized between your local computer and your CPM, so the files in the cloud may also be at risk. Use a backup service with unlimited versioning, such as SecureMyFirm (securemyfirm.com; disclaimer: this is the author's company), Jungle Disk (jungledisk.com), or a backup appliance provided by a local IT support company. These options deliver continuous backup to the cloud, versioning, and point-in-time restores.

For more on backups and ransomware, see "Protecting Yourself from Ransomware and Cyber-Attacks" (*GPSolo*, September/October 2016: tinyurl.com/m4n5lv5).

MAIN FEATURES

Although all CPM software covers the essential functions—calendar, contacts, matters, documents, e-mail, task management, timekeeping, and billing—the ways these features are implemented vary widely. For example, PracticePanther tightly integrates e-mail, while Clio only logs e-mails that are individually forwarded to it. Our comprehensive online spreadsheet (activepractice.com/cpm) compares the features of a number of leading services. The leading CPM services include Actionstep (actionstep.com), Amicus Cloud (amicus-cloud.com), CaseFox (casefox.com), Centerbase (centerbase.com), Clio (goclio.com), CosmoLex (cosmolex.com), Firm Central (firmcentral.com), HoudiniEsq (houdiniesq.com), MyCase (mycase.com), PracticePanther (practicepanther.com), Rocket Matter (rocketmatter.com), and Zolasuite (zolasuite.com).

Calendar. The Google or Microsoft Outlook calendars integrate with many CPM services, but that integration may be thin. With some services only one calendar for the entire firm can be synchronized. With others, a robust set of calendar options is built in.

Pay attention to the optional information that may be available for events on the calendar feature in a CPM you are considering. CPM calendars may include information you want readily viewable such as type of event, file number, location, and even people attending.

Most CPMs have smartphone apps. If they are important to you, check to see how much calendar information is available in the apps and how conveniently it is displayed.

Legal work is often driven by deadlines imposed by courts, clients, or other parties. It is critical that you are able to link deadlines to their respective matters. Then you can look at a matter and see all its deadlines as well as look at the calendar to see what deadlines may be looming. Features that provide multiple, advance, automatic notifications via e-mails and text messages can serve as an important supplement to, but not a substitute for, regularly monitoring the calendar for due dates. Look for integration with task management and

workflow features, too.

Contacts. A list of contacts may be the simplest, most basic feature of a CPM service, yet maintaining and using contacts can be a complicated task with any system. The challenges come from all the places where you collect, store, and use contacts. Every attorney encounters hundreds if not thousands of people and organizations in the course of a single year.

Don't needlessly limit the role of matters in your practice management system.

Contacts appear in incoming e-mails, documents, phone calls, and text messages. They are submitted via web forms. They are used in automatically creating documents, sending e-mails from mobile devices, and making phone calls. They may be stored in individual Outlook accounts, practice management systems, smartphones, tablets, and laptops. LinkedIn, Facebook, and other social media contain more contacts.

Implementing a new cloud practice management system presents an opportunity to get a handle on all these contacts. The CPM service can synchronize contacts with Office 365, Microsoft Exchange, and G Suite by Google so that they are readily available in the office and outside on mobile devices. Here again, the devil is in the details. What contact information is replicated from each place to each other place? Where is the best place to enter new contacts? What are the most efficient ways to collect and record contact information?

Social media is an area where many CPM services lag behind the customer relationship management (CRM) applications used outside the legal profession. Modern CRMs integrate social

media, allowing users to quickly refer to relevant, recent information on LinkedIn, Twitter, and Facebook. Social media features provide fast, useful access to insights about clients, other attorneys, experts, organizations, and more. Your best strategy is to choose a CPM application with an application programming interface (API). The API allows the CPM to connect to a service that aggregates information from social media sources.

Matters. Matter management separates CPM services from other cloud services intended for the general business marketplace. Matters, whether transactions or litigation, are hubs for a wide array of facts, figures, names, dates, and communications.

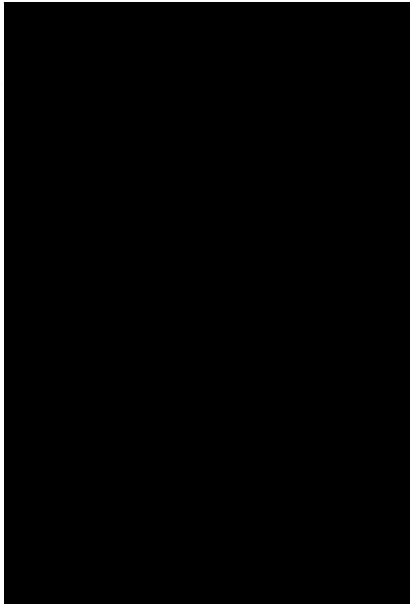
If you limit the role of matters in a practice management system to that of a glorified case list, you miss out on opportunities to cut down on the administrative workload of your office. Ad hoc collections of paper files, word documents, and spreadsheets often comprise the essential sources of information for managing too many aspects of small law firms.

Matter records customized to collect specific information and linked to documents, contacts, events, due dates, and e-mails become the control panels for your workload. You can crank out documents, e-mails, and invoices more accurately and in less time after you invest time in training and customization of your CPM.

Features to look for in the matters area of a CPM service are:

- templates used to create new matters containing fields already customized for your practice areas;
- user-customizable fields that you can adapt to your practice areas; and
- the capability to link contacts to your matters and to classify the roles of the contacts in the matters.

Documents and e-mail. Look closely at the e-mail features and document creation, organization, and editing features of any CPM you are considering. The power and breadth of these features differs a great deal from one service to the next.



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LAW FIRM CYBERSECURITY

BY DANIEL GARRIE AND BILL SPERNOW

In today's world there are new threats facing law firms beyond the practice of law, namely data breaches and cyber-attacks. It's crucial that law firms devote sufficient resources to ensuring the security of their clients' data. If a firm is breached, its client files may inadvertently end up on the darknet, in the hands of investigative journalists, or with other nefarious entities.

While preventing a breach should be a paramount concern for any law firm, it is similarly important to prepare for what happens in the event that a breach occurs.

Proactive steps to create processes that will mitigate and control the risk and fallout resulting from a data breach should be in place. A strong step in the right direction is *Law Firm Cybersecurity*, a resource that gives firms the tools they need to defend themselves.

Visit ShopABA.org, facebook.com/ABAPublishing,
and www.linkedin.com/company/ABAPublishing
for news and release updates.

You no longer have to settle for organizing all your e-mail in Outlook folders. A good CPM can file and retrieve e-mails rapidly from folders and lists organized by client and matter. Everyone in the office can be given access to these vital communications. But these capabilities vary widely from one service to the next.

Some CPMs can be agonizingly slow and convoluted when it comes to the high-volume task of opening, revising, and resaving documents. Make sure you understand what steps are required for these tasks.

I have found that Box, integrated with any one of many CPMs, eliminates steps and saves a great deal of time. Box Edit and Box Sync features work on your local computer to accelerate the process of editing, saving, and resaving documents, all the while keeping a history of versions automatically. NetDocuments integrates with fewer CPMs but offers more features and efficiencies at a higher price point. Productivity gains vastly outweigh the extra cost of Box.com (\$15 per month, box.com) or NetDocuments (\$40 per month, netdocuments.com).

Task management. Solid task management features bring order to the chaos of a busy office. But they only work if you commit yourself to using them. So look for features such as task templates that you can grasp, customize, and use intuitively.

Task management relates closely to workflow, a rather nebulous term. Actionstep delivers a powerful workflow system (illustrated in a video at vimeo.com/38131711). Although best suited to legal matters that follow a predictable sequence of steps, workflow features also cut administrative time when opening and closing any type of matter.

Timekeeping, billing, and accounting. The biggest developments in recent years for timekeeping, billing, and accounting have been:

- incremental improvements in supporting various billing arrangements and invoice customization; and
- incorporating legal accounting into CPM services.

Accounting can be a problem in CPM offerings. Many offer a link to QuickBooks Online (quickbooksonline.com).

com), which does a fantastic job of synchronizing automatically and continually with your bank accounts and credit cards; however, the links from the CPM systems typically leave a lot to be desired. In addition, QuickBooks Online does not have features specifically tailored to law practices.

Portals. Client portals allow you to give your clients and others secure, limited access to documents, case progress notes, invoices, and other information in your CPM. For example, PracticePanther shares invoice history, trust balance, tasks, appointment invitations, and e-mail and text reminders with clients. Actionstep has a highly customizable feature for giving clients access to selected aspects of their matters and only their matters, plus secure document exchange. In addition to Secure Messaging, Clio's portal can give access to documents, tasks, calendar events, and invoices.

Portals may also serve to share information and documents with contract attorneys, outside paralegals, experts, and other professionals. Typically, giving limited access to non-employees is available at no added user charge. CaseFox offers access to contract staff that is limited to entering time and expenses on specifically assigned cases. With Rocket Matter you can share documents with your clients, send invoices, update calendar events, and receive payments.

THE LATEST ON NEWER AND OLD PLAYERS

Newer players appearing on the scene include PracticePanther and CosmoLex. PracticePanther stands out in the area of speed and ease of use, besting market leader Clio in a number of areas. CosmoLex has lapped the field in the area of billing and accounting, with more developments on the way. The newest player, Centerbase, impresses with a broad and deep feature set, including highly customizable billing and soon-to-come accounting.

Counts of online customer reviews at capterra.com give a rough idea of the popularity of CPM services. The current standings are, in first place, Clio, followed in order by HoudiniEsq, CosmoLex, PracticePanther, and

Rocket Matter. But popularity isn't everything. In user satisfaction ratings, PracticePanther and CosmoLex come out on top, and HoudiniEsq is last among this group.

The services from the largest legal vendors have not fared well. Firm Central from Thomson Reuters lags well behind in both popularity and ratings. Firm Manager from LexisNexis suspended sales and development in January 2017, although it continues to serve existing customers.

For a large collection of editorial reviews, customer reviews, and ratings, see Capterra (tinyurl.com/8yza975). Customers in these reviews identify themselves by name and firm, lending credibility to their content. FinancesOnline has another good set of reviews (tinyurl.com/lfsko6t).

ALTERNATIVES

Alternatives to CPM systems include traditional premises-based software running either on a local area network in your office or running on a network of virtual PCs and server hosted in the cloud. The cloud-hosting option substitutes a predictable monthly payment for the up-front investment and ongoing expenses of maintaining and updating servers and PCs. You still need devices in your office, but they can be "nettops," lightweight, low-power PCs that display the screen of your real computer that is hosted in the cloud.

Local and national IT companies are fueling a strong trend toward cloud-hosted networks. They offer flexibility in adding new users and make costs predictable and even. For small offices the total cost may be higher or lower, but downtime and disruptions are reduced, assuming you have a dependable connection to the Internet.

Companies specializing in hosted servers and desktops for law offices



As a legal technology consultant, **Wells H. Anderson** works with small firms and solos via screen-sharing. He owns Active Practice LLC (activepractice.com, 800/575-0007), where he implements, customizes, and troubleshoots practice management, billing, and document applications, both cloud-based and traditional. He also runs SecureMyFirm (securemyfirm.com), providing continuous, secure cloud backups, secure file sharing, and anti-virus protection designed and priced for small firms and sole practitioners.

include Uptime Legal (uptimelegal.com, formerly Uptime Systems), AirDesk Solutions (airdesksolutions.com), and Cloudnine (cloud9realtime.com).

CONCLUSION

In late 2013, Benjamin K. Sanchez and I predicted that CPM services would become the dominant legal practice management solution within five years. With two years to go, a 2016 American Bar Association survey (tinyurl.com/7837dcu) reported these statistics on lawyers' use of cloud computing:

- 53 percent were not using cloud services;
- 38 percent were using cloud services; and
- 10 percent didn't know.

So we are in a period of transition. The survey showed that lawyers not using cloud services were most concerned about:

1. confidentiality and security;
2. loss of control of data;
3. being unfamiliar with the technology; and
4. losing access and ownership of data.

The chief advantages ranked by lawyers using cloud computing were:

1. easy access from anywhere;
2. 24/7 availability;
3. low cost of entry and predictable expenses;
4. quick to get up and running; and
5. data backup and recovery.

As lawyers become more educated about and familiar with cloud practice management services and other cloud applications, I expect their concerns about security and loss of control will lessen. They will better understand the advantages of CPMs, and the adoption graph will continue its upward climb.

I hope this information helps you understand and evaluate CPM services. I welcome your comments and questions. ■